

# Pros & Cons, and Strategies for Withdrawing RRIF amounts before the Mandated Date

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AI Overview

GetSmartAboutMoney.ca  
CanadaLife.ca  
RBC Wealth Management

You can withdraw from your Registered Retirement Income Fund (RRIF) at any time. While you are only forced to start taking minimum withdrawals in the calendar year after you open the account, making early withdrawals can be a great way to smooth out your lifetime tax bracket, claim the Pension Income Tax Credit, or avoid Old Age Security (OAS) claw-backs.

Early withdrawals offer several benefits, but doing so comes with a few trade-offs depending on your age and tax bracket:

## 1. The Strategy: Withdrawing Before Age 65

If you retire in your 50s or early 60s without a workplace pension, you are in a "tax desert"—a period with very little taxable income before government benefits (like CPP and OAS) and RRIF minimums kick in.

- **The Benefit:** Withdrawing modest amounts from your RRIF now fills up your lower tax brackets, allowing you to pull money out at much lower tax rates than you might face later.
- **The Trade-off:** You lose the tax-deferred growth on the withdrawn portion inside the RRIF.

## 2. The Strategy: Activating the Pension Income Tax Credit at 65

Once you turn 65, RRIF withdrawals qualify as "eligible pension income" for the federal Pension Income Tax Credit, which can provide a non-refundable tax credit on up to \$2,000 of pension income.

**The Move:** If you are 65 or older and have little to no other eligible pension income, withdrawing exactly \$2,000 per year from your RRIF can either completely offset or significantly reduce the tax you would owe on those funds.

## 3. The Strategy: Managing OAS Clawbacks (The "Pension Adjustment")

When you are forced to take large mandatory minimum withdrawals later in life, the combined income from your RRIF, CPP, and OAS can trigger the OAS "claw-back" (Recovery Tax).

- **The Move:** By making voluntary, strategic withdrawals before age 72, you can draw down the overall value of your RRIF. This keeps your future mandatory minimum payouts smaller, protecting your future OAS benefits from being clawed back in your late 70s and 80s.

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## **Withholding Tax Rules**

Whenever you withdraw *more* than the required annual minimum, your financial institution is legally required to withhold a portion of that cash and remit it directly to the Canada Revenue Agency (CRA);

**Up to \$5,000:** 10% (5% in Quebec)

**\$5,001 to \$15,000:** 20% (10% in Quebec)

**Over \$15,000:** 30% (15% in Quebec)

*Note: These are just flat withholding rates. When you file your taxes, these funds will be taxed at your actual marginal tax rate, meaning you will either owe more or receive a refund.*

**A couple of sites to aid in any questions you may have:**

Canada.ca

GetSmarterAboutMoney.ca

Canada Life